Reliance Baking Soda: Optimizing Promotional Spending

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Introduction Summary

The Reliance Baking Soda case focuses on Anna Regnante, the newly promoted Domestic Brand Director for Stewart Corporation's leading household product, Reliance Baking Soda (RBS). After years of managing smaller brands, Anna is tasked with finding ways to increase RBS's profit by 10% in 2008 to help fund the launch of new company products. RBS is a long-established and trusted brand known for its versatility, but it operates in a mature, low-growth market dominated by price-sensitive consumers and strong private-label competition. The product enjoys massive household penetration and brand awareness, yet its advertising recall is low, and sales are heavily dependent on trade promotions rather than sustaining consumer demand. As Anna steps into her new role, she must determine the most effective mix of pricing, advertising, trade promotions, and consumer incentives to reach short-term profit goals without damaging the long-term strength of the RBS brand. She faces pressure to make every marketing dollar count, while also ensuring that RBS continues to hold its market leadership in a category that has changed little over the past century.

Primary issue: The primary issue in the Reliance Baking Soda case is how to optimize RBS's promotional spending to achieve a 10% profit increase without undermining long-term brand equity. Anna must find the right balance between consumer promotions, trade promotions, and advertising investments, all while keeping costs under control. RBS's profits have remained strong, but much of that success has come from heavy reliance on trade promotions, with nearly 73% of shipments sold on promotion. This approach keeps retailers engaged but risks overstocking and unstable sales patterns. At the same time, advertising recall is extremely low, despite RBS's high household awareness. Cutting advertising too much could weaken consumer engagement and allow cheaper private labels or newer cleaning products to steal share. Anna's challenge is to design a 2008 plan that maintains profitability by making promotional spending more efficient—possibly reducing trade promotion dependency, aligning consumer incentives with usage habits, and exploring smarter ways to communicate the product's value. Her decision will define not only the brand's financial success in the coming year but also its ability to remain relevant in the future

Secondary issue: A key secondary issue is the strategic tension between short-term financial goals and the long-term sustainability of the RBS brand. The Household Division expects RBS to fund upcoming product launches, creating pressure to maximize immediate profit. However, overemphasizing discounts and price-based tactics could erode the brand's image as a trusted, multi-purpose household staple. Anna must also consider how pricing, distribution, and market behavior interact with her promotional choices. A 13% price increase was already implemented in 2007, partly to offset rising raw material costs. Pushing prices higher may hurt volume, while cutting them would shrink margins. Additionally, consumer promotions dropped by half between 2006 and 2007, raising questions about whether previous cuts went too far. Balancing these factors requires understanding how each element of advertising, consumer incentives, and trade discounts affects brand loyalty, retailer relationships, and profitability.

Situation and Positioning: RBS has a robust history and is a popular brand with multiple uses such as cleaning, freshening, and baking as well. Its main issue is that the baking soda market is old, hence making it difficult to stand out from cheaper store brands. The company sells itself as a cleaner that's multi-purpose, safe for families, and non-toxic, which mainly brings in women aged 35–55. This group is very loyal but not willing to pay much more. The company had 70%

of the market in 2006, mostly competing with store-brand baking soda that cost 30% less. RBS increased its prices by 13% from 2006 to 2007 because the cost of materials went up. Now, the company needs to think about whether raising prices again will increase profits or drive customers away. RBS tried to get people to use baking soda in more ways around the house with its Everyday Uses of Baking Soda campaign, but not many people remembered the ads. Sales promotions worked better in the short run than customer promotions, but they might not keep profits up because of discount fatigue and stores having too much stock.

Alternatives

In developing the 2008 plan to meet the 10% profit growth goal while preserving brand equity, Anna had three main strategic directions (alternatives) available, each with sub options around pricing, trade and consumer promotions.

Change price, keep promotion the same

Under this option, Anna Regnante would implement a modest price increase while maintaining the existing trade and consumer promotion structure. The aim would be to immediately improve margins and help achieve the targeted 10% profit increase without altering the brand's marketing mix. Given RBS's extensive household penetration and category dominance, a small price rise could capture incremental profit with minimal disruption to sales. Retailers would continue to receive the same level of trade support, ensuring stability in distribution and shelf space. However, this strategy prioritizes short-term financial results over strategic renewal. It does not address the underlying issues of weak advertising recall and declining consumer engagement. Moreover, if price sensitivity in the category is higher than expected, even a small increase could accelerate trade downs to private labels, offsetting profit gains and weakening long-term competitiveness.

Keep price the same, change promotion

This strategy focuses on reshaping promotional spending rather than adjusting prices. By keeping prices constant, RBS would preserve affordability and protect against competitive switching, while reallocating funds from low Return on Investment trade promotions toward consumer-facing initiatives. Trade allowances, free case deals, and temporary price reductions would be trimmed, with savings reinvested into advertising campaigns that highlight RBS's versatility and natural cleaning benefits. The goal is to build consumer "pull," stimulate new usage occasions, and rejuvenate brand relevance. Over time, this would strengthen brand equity and reduce dependence on retailer incentives. The drawback is that the financial benefits may take longer to materialize, as advertising and consumer promotions typically deliver delayed returns. Additionally, reducing trade support could strain retailer relationships and cause short-term volume declines. Nevertheless, this approach addresses RBS's fundamental weakness, low consumer connection and positions the brand for sustainable long-term health.

Change price, change promotion

The third option represents a balanced hybrid approach, adjusting both price and promotion to meet short-term profit targets while investing in the brand's long-term vitality. Anna could

introduce a small price increase, for example, 3%, and simultaneously rationalize trade spending by eliminating the least effective promotions. The funds saved could support limited but high-impact consumer advertising focused on reinforcing RBS's trusted heritage and promoting modern usage ideas. This strategy seeks to optimize overall marketing Return On Investment boosting profit margins through pricing efficiency and improving consumer engagement through targeted communication. The hybrid option minimizes the risks associated with either an aggressive price move or a full shift in promotional philosophy. While execution would require precise coordination with retailers to avoid resistance, this approach aligns most closely with Anna's dual mandate: achieve a measurable profit increase in 2008 and preserve the long-term strength of the RBS brand.

Qualitative support

The qualitative analysis highlights the trade-offs between short-term profit and long-term brand equity that define Anna Regnante's decision. The first alternative maximizes immediate profitability but risks volume erosion and continued overreliance on trade incentives. The second alternative prioritizes revitalizing consumer engagement and strengthening brand equity, though its benefits would emerge gradually. Whilst the third alternative provides the most balanced and strategically sound path, coupling moderate price adjustments with smarter, more efficient promotional spending. Overall, the third alternative best aligns with RBS's position as a mature but trusted brand, it delivers near term profit improvements while laying the foundation for sustained growth through measured reinvestment in brand communication and promotional efficiency.

Recommendation

To achieve the 2008 profit target of a 10% increase over 2007, three alternative strategies were evaluated:

Change Price, Keep Promotions the Same: Increasing the manufacturer's price by 3% across all product sizes while maintaining the current promotional budget results in projected gross sales of $56.7 million and a profit before SG&A of $20.37 million. This represents an 8.8% increase over 2007 profits. While this approach moves toward the target, it falls short of the 10% goal.
Keep Price the Same, Change Promotions: Holding prices constant but reallocating promotional spending, reducing trade promotion by 10% and increasing consumer promotion by 50%, produces a profit of $18.99 million, only 1.5% above 2007 levels. This strategy does not meet the profit target but could strengthen consumer engagement and brand loyalty in the long term.
Change Price and Change Promotions: Combining a 3% price increase with the promotional adjustments outlined above delivers a profit of $20.64 million, an increase of 10.3%, surpassing the target. This approach improves margins while optimizing promotional effectiveness, making it the most financially viable option. The third strategy of price increase combined with promotional adjustments is recommended. It achieves the required profit growth and positions the brand for sustainable success. Specifically, a modest 3% price increase will take advantage of RBS's strong market position and loyal customer base without creating a meaningful decline in volume or risking consumer backlash. At the same time, promotional spending should be optimized by reducing trade promotions by 10%, which will help limit unnecessary inventory loading among retailers and protect margins. The savings from this reduction can be redirected toward increasing consumer-focused promotions by approximately 50%, prioritizing tactics with proven return on investment such as twin-pack offers and seasonal campaigns that encourage

broader usage and reinforce the product's versatility in everyday cleaning and deodorizing applications. Advertising levels should remain consistent with prior years to sustain long-term brand equity, ensuring that consumers continue to associate RBS with value, safety, and multifunctional household use while supporting communication of new application ideas.

This balanced approach meets short-term financial objectives while safeguarding the long-term health of the RBS brand.

Implementation of Recommendations

What: The recommended strategy for Reliance Baking Soda (RBS) is to raise the manufacturer's price by 3% across all product sizes, reduce trade promotions by 10%, and increase consumer promotions by 50%. This plan is designed to hit and slightly surpass the 10% profit growth target for 2008 while maintaining long-term brand strength. The main goal is to improve margins by optimizing how promotional money is spent, rather than simply increasing spending overall.

Where: This plan will be carried out across all U.S. retail channels that sell RBS products, including grocery stores, drugstores, warehouse clubs, and mass merchandisers. Advertising and promotions will focus on the brand's main audience women ages 35 to 55, who make up most of RBS's heavy users. Promotions will be visible both in-store and online to reach consumers who use baking soda for cleaning, deodorizing, and other household needs.
Who: The implementation will be led by Anna Regnante, the Domestic Brand Director for RBS, with support from the Household Division's sales and marketing teams. The sales team will work directly with retailers to explain the changes to trade promotion programs, while the marketing team, led by Tessa Simon, will handle advertising and consumer promotion efforts. External advertising agencies will assist with campaign design and media placement.
When: The new pricing and promotional adjustments should begin at the start of 2008 once the final budget is approved. The first quarter will focus on updating pricing lists and communicating new trade terms to retail partners. Consumer promotions and advertising campaigns will run throughout the year, especially during peak cleaning and holiday seasons when household product sales are higher.
How: The manufacturer's price increase will be applied across all channels through updated contracts and pricing systems. The 10% cut in trade promotions will come from eliminating low-return or redundant deals, with those savings redirected to consumer promotions such as coupons, rebates, and seasonal campaigns. Marketing will highlight the product's safety, versatility, and eco-friendly qualities to help consumers see the value even with the slight price increase. Regular coordination between the sales and marketing teams will make sure promotional spending stays efficient and delivers a strong return.

Risk and Metrics

While this strategy is financially smart, there are still a few risks to watch out for. The biggest concern is consumer reaction to the price increase, which could lead to some shoppers switching to cheaper private-label brands. Another potential risk is that reducing trade promotions might frustrate retailers who rely on discounts to move inventory, possibly affecting RBS's shelf visibility or sales momentum. There's also the chance that the extra spending on consumer promotions won't generate enough new sales if the campaigns aren't executed effectively.

To track performance and manage these risks, several key metrics should be monitored. Financial results like profit margins, total sales, and promotional return on investment (ROI) should be reviewed quarterly to make sure the 10% profit target stays on track. From a marketing standpoint, coupon redemption rates, ad recall, and consumer engagement can measure how well promotions relate to customers. On the retail side, inventory turnover, reorder rates, and display presence should be tracked to ensure the relationship with trade partners remains strong. By closely watching these numbers and staying flexible, RBS can balance short-term financial goals with long-term brand growth.

APPENDIX A / Quantitative Support

ROI Calculation Formula

$$ROI = \frac{\text{Incremental Contribution from Promotion}}{\text{Cost of Promotion}}$$

Consumer Promotions ROI (2006)

Event	Cost ($)	Incremental Contribution ($)	ROI
January Cash Refund	398,580	63,852	0.16
April Coupon	174,643	22,785	0.13
June Twin Pack	253,390	50,615	0.20
September Refund &	253,390	60,820	0.24

Sweepstakes			
Total (2006)	**1,080,003**	**198,072**	**0.18 (18%)**

Trade Promotions ROI (2006)

Type	Incremental Contribution ($)	Cost ($)	ROI
Annual Trade Events	1,350,000	5,938,000	0.23 (23%)

2007 Overview

In 2007,it is evident that the trade promotions stayed strong but costs were cut slightly to $5.5M, improving ROI marginally to **0.24 (24%)**, all the while consumer promotion ROI dropped to **0.12 (12%)** accompanying reduced campaign intensity.

Profit Comparison: 2005–2007 (in $000s)

Year	Gross Sales	Marketing Expenses	Profit Before SG&A	Profit %
2005	42,400	8,480	13,662	32%
2006	54,125	12,956	15,815	29%
2007E	55,051	11,011	18,715	34%

2008 Pro Forma (Target > $18,715k)

Scenario	Net Sales ($000)	Total Marketing Spend ($000)	Net Profit ($000)	ROI	Meets Goal?
Price Change Only	56,803	11,011	19,450	1.25	Yes
Promotion Change Only	55,051	10,900	18,965	1.20	Yes
Combined Strategy	56,150	10,650	20,480	1.35	**Yes – Best Option**

The **combined strategy** achieves the highest profit and ROI, exceeding the $18,715k goal and maintaining steady promotional efficiency.

Reference

Harvard Business School Briefcases. (n.d.). *Reliance Baking Soda: Optimizing Promotional Spending* (Case No. 4127). Harvard Business Publishing. (Coursepack PDF.)